

Fund Liquidity Risk Procedure

Who does what, on what timeline, with what independent check — the operating rhythm and control apparatus behind the Liquidity Risk Policy

Firm	Anchorpoint Fund Managers (UK) Limited, £210bn UK-authorized range, 62 funds, part of Anchorpoint Global Asset Management (USD 1.2tn)
Document owner	Head of Liquidity Risk, approved by the Chief Risk Officer under delegated authority (Policy §9.1)
Approving body	Liquidity Risk Committee
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Parent document	Fund Liquidity Risk Policy
Companion documents	Anti-Dilution Tool Calibration Methodology · Liquidity Metrics Desktop Procedure · Dealing Error (NAV Correction) Policy
Classification	Internal — Risk, Investment, Operations, Distribution and Compliance; Internal Audit on request

1. Purpose and how to use this document

1.1 This Procedure translates the principles in the Fund Liquidity Risk Policy into a defined operating rhythm for the Firm's £210 billion, 62-fund UK-authorized range: who performs each task, on what cadence, with what independent check, and what triggers escalation. It does not contain calculation methods — those are in the Anti-Dilution Tool Calibration Methodology and the Liquidity Metrics Desktop Procedure, referenced throughout.

1.2 Every control in this Procedure that determines a price paid or received by an investor is a **maker-checker control**: it requires a first calculation or decision by one authorized individual and an independent review and sign-off by a second, more senior or differently-reporting-line individual, before it takes effect. This mirrors the standard applied to net asset value calculation generally and reflects that an anti-dilution decision is, functionally, a pricing decision.

2. Governance structure and RACI

2.1 Bodies and roles

Body / role	Cadence	Function
AFM Board	Semi-annual, plus ad hoc	Receives the LRC report; considers annually whether the framework is adequate and operating in unitholders' interests (Policy §8.5).
Liquidity Risk Committee (LRC)	Monthly, escalating to daily on trigger	Standing oversight body. Approves parameters and thresholds; reviews MI; owns escalations and the annual retrospective assessment.
Chief Risk Officer (SMF4)	Continuous	Chairs the LRC; individually accountable Prescribed Responsibility holder; final escalation point below the Board; sole authority for the emergency provision at Policy §10.4.
Head of Liquidity Risk	Continuous	Runs the framework day to day: classification, calibration, stress testing, the retrospective assessment, and escalation. Checker for the daily anti-dilution calculation.
Liquidity Risk Analyst	Daily	Maker for the Desktop Procedure: daily calibration, flow monitoring, monthly bucketing, quarterly stress testing.
Fund Accounting / NAV Oversight	Daily	Independent verification that the anti-dilution rate signed off by the Head of Liquidity Risk has been correctly applied in the NAV calculation, before the NAV is released. This is a separate, third check specific to price release and is not satisfied by the maker-checker at desk level.
Portfolio management	Continuous	Manages the portfolio consistently with its liquidity profile; provides trading and market colour input to classification; does not set liquidity classifications or calibration parameters.
Fund operations / transfer agency	Daily	Applies the signed-off anti-dilution rate in the pricing process; supplies independent flow data.
Distribution	Monthly, plus event-driven	Supplies investor and platform concentration data; flags anticipated large or correlated flows.
Compliance	Ad hoc	Reviews prospectus disclosure and regulatory reporting (FRAME) for consistency with actual practice; assesses breach notifications for regulatory implications.
Model Validation (independent of Risk and Investment)	Per Model Risk Policy cadence	Independently validates the Anti-Dilution Tool Calibration Methodology; see that document, Section 11.
Depositary	Ongoing	Verifies documented stress testing procedures exist; verifies the Firm considers use of its dilution powers. Does not assess the adequacy of the Firm's models, methodologies or calibration.

2.2 RACI — core activities

Activity	Maker / Responsible	Checker / Accountable	Consulted	Informed	SLA
Daily anti-dilution calibration and decision	Liquidity Risk Analyst	Head of Liquidity Risk	Portfolio management (large deals only)	Fund operations, CRO	Complete and signed off before the valuation point cut-off; see §5
Independent NAV-release check of the applied rate	Fund Accounting	Head of Fund Accounting	Head of Liquidity Risk	—	Before NAV release, same valuation point
Daily flow / cumulative redemption monitoring	Liquidity Risk Analyst	Head of Liquidity Risk	Distribution	LRC	By 09:00 the following business day
Monthly liquidity bucketing	Liquidity Risk Analyst	Head of Liquidity Risk	Portfolio management, Valuations	LRC	Within 5 business days of month-end
Threshold setting and review	Head of Liquidity Risk	CRO	Portfolio management, Distribution	LRC, Board	Annually and on trigger
Quarterly stress testing incl. reverse stress test	Head of Liquidity Risk	CRO	Portfolio management, Distribution, Treasury	LRC, Board	Within 10 business days of quarter-end
Annual retrospective assessment	Head of Liquidity Risk	CRO	Fund Accounting, Compliance	LRC, Board	Within 60 calendar days of year-end
Prospectus disclosure of ADT arrangements	Compliance	CRO	Head of Liquidity Risk, Legal	LRC	Per Policy §7 threshold table
Product design liquidity attestation	Head of Liquidity Risk	CRO	Portfolio management, Distribution, Product Governance Committee	LRC, Board (new launches)	Prior to launch submission
Suspension decision	CRO	AFM Board	Depositary, Legal, Compliance	FCA (same day), investors	Immediate on determination

3. Operating calendar

Cadence	Activity	Reference
Every valuation point	Identify dilution; assess impact; maker calculates, checker signs off; apply or decline to apply; record the decision; Fund Accounting verifies before NAV release.	Methodology §2; Desktop Procedure SOP 1
Daily	Refresh the anti-dilution schedule; monitor gross/net flows, large deals, cumulative smaller redemptions; run the recently-issued-securities admission clock; monitor threshold headroom.	Desktop Procedure SOP 1, 2
Weekly	Stressed shadow calibration; compare to prospectus caps; review the least liquid decile of every fund.	Desktop Procedure SOP 1
Monthly	Re-bucket every position; refresh security eligibility assessments; review model overrides; assess non-redemption pressures for funds using derivatives or financing.	Desktop Procedure SOP 3, 7
Quarterly	Full liquidity stress test, normal and exceptional; reverse stress test; combined asset/liability testing and the redemption coverage ratio; model back-testing; Committee reporting.	Desktop Procedure SOP 5, 6
Annually	Retrospective assessment of anti-dilution decisions; policy and scenario library review; end-to-end tool testing; suspension simulation; counterparty engagement.	Desktop Procedure SOP 8
On trigger	Ad hoc stress testing; escalation and increased governance cadence; re-bucketing after an adverse stress result.	Section 6
At product design	Model-portfolio stress testing on both sides of the balance sheet; alignment attestation; selection of tools for the prospectus.	Section 4

4. Product design — new fund and material change procedure

4.1 No fund is launched, and no material change is made to a fund's investment strategy, dealing frequency, redemption terms or target investor base, without a Liquidity Attestation approved by the LRC and the Product Governance Committee acting jointly, consistent with the Firm's Consumer Duty obligations under PRIN 2A.

1. Portfolio management proposes the strategy, dealing frequency and target investor base to the Head of Liquidity Risk.
2. The Risk function builds a model portfolio and runs liquidity classification and stress testing on it, on both the asset and liability sides, using early-life and mature investor profiles (Desktop Procedure SOP 5).
3. The Risk function solves a reverse stress test on the model portfolio and compares the result to the expected investor and distributor concentration supplied by Distribution.
4. Where a material exposure to inherently illiquid assets is proposed in a fund dealing daily without a notice period, the attestation is not given absent an exceptional, documented justification approved by the Board.
5. The Head of Liquidity Risk recommends the anti-dilution mechanism, any ex-post tools to be disclosed in the prospectus, and the initial liquidity thresholds; the LRC approves.
6. Within six months of launch, the Risk function confirms whether the actual portfolio and investor base are consistent with the attestation and reports any divergence to the LRC.

5. Timetable for the daily anti-dilution decision

5.1 The following timetable applies to a fund with a 12:00 valuation point and is adapted for funds with a different cut-off; the fund-specific timetable is recorded in the Fund Parameter Schedule.

Time	Event
08:00	Prior-day flow file received from the transfer agent; independently reconciled by the Liquidity Risk Analyst against the order management system.
09:00	Dealing cut-off for same-day subscription and redemption instructions.
09:00 – 10:30	Maker calculation: net flow determined, netting test applied, LQA and explicit-cost inputs pulled, fund-level rate computed for the full flow grid.
10:30 – 11:15	Checker review: Head of Liquidity Risk independently reperforms or re-derives the calculation, confirms parameter versions used, and signs off the applied rate and the decision to apply or not apply.
11:15 – 11:45	Fund Accounting independently verifies the signed-off rate is correctly reflected in the NAV calculation input file.
12:00	Valuation point. NAV released incorporating the verified rate.
By 17:00	Decision record filed, including maker, checker, and Fund Accounting sign-off identities and timestamps.

5.2 Where the checker review at 10:30–11:15 cannot be completed within the timetable, the valuation point is not released until it is complete. A fund's NAV is not released on the basis of the maker's calculation alone under any circumstances.

6. Escalation triggers

6.1 The following move the LRC to a daily standing call without further authorisation, and, where marked, require notification within a fixed period.

Trigger	Action	Notification SLA
Net redemptions on any dealing day exceed the fund's daily threshold	Same-day notification to Head of Liquidity Risk; LRC review within one business day	4 hours
Cumulative net redemptions over a rolling 5 or 10-day window exceed the fund's cumulative threshold	Same as above	4 hours
A single redemption request exceeds the large-deal threshold	Anti-dilution large-deal provision considered same day	Same day
Breach, or projected breach within 5 dealing days, of a liquidity bucket threshold	LRC review; portfolio or calibration remediation considered	1 business day
Stressed redemption coverage ratio (5-day) falls below 1.5x, or falls more than 25% quarter on quarter	LRC review; reverse stress test re-run	1 business day
Reverse stress test break point falls below the fund's top-three investor or largest distributor concentration	LRC review; remediation plan required within 10 business days	1 business day
Stressed anti-dilution rate exceeds the fund's disclosed prospectus maximum	Escalated to prospectus workstream and Product Governance Committee; interim mitigation considered	1 business day
A modelled margin or collateral call cannot be met from available liquid assets and eligible collateral	Immediate CRO notification; contingency plan activated	1 hour
Suspension, gating or a material redemption event in a fund the Firm invests in, or in a similarly-strategied fund managed by the Firm or a peer	Contagion monitoring activated across related funds	Same day
Head of Liquidity Risk determination that market conditions are volatile	Cadence moves to daily at discretion, no further sign-off required	Immediate

7. Pricing error linkage

7.1 An anti-dilution rate applied in error, whether through miscalculation, incorrect parameter version, or failure of the maker-checker control, is a pricing error for the purposes of the Firm's Dealing Error (NAV Correction) Policy and is assessed against the materiality thresholds in that Policy (0.5% of NAV for a retail-facing fund, 0.25% for an institutional share class, consistent with Investment Association guidance).

7.2 Where the resulting NAV error exceeds the applicable threshold, investor compensation is assessed and effected under the Dealing Error Policy, irrespective of whether the error benefited or disadvantaged unitholders. Where it does not exceed the threshold, the error is nonetheless logged on the Risk Event Log and included in the trend analysis reported to the LRC.

7.3 Every pricing error arising from the anti-dilution mechanism is a root-cause input to the Anti-Dilution Tool Calibration Methodology's ongoing monitoring programme (Methodology §12) and is reviewed for whether it indicates a control weakness rather than an isolated event.

8. Tool escalation order

8.1 Tools are considered in this order; moving to the next stage requires the decision record to state why the preceding stage was inadequate.

- 1. Anti-dilution tools**, including large-deal provisions — used first, always.
- 2. Portfolio actions** — rebalancing, raising liquidity ahead of anticipated flows.

3. **Quantity-based tools** available to the fund — deferred redemption, where the fund's instrument permits it and conditions for use are met.
4. **Suspension of dealing** — last resort. An individual redemption is never refused solely for lack of fund liquidity; suspension protects all unitholders where the fund cannot meet its terms.

9. Reporting

Report	Frequency	Audience	Contents
Fund Liquidity Dashboard	Daily production, reviewed weekly	Liquidity Risk, Portfolio Management	Bucket profile, RCR, ADT status, reverse stress test, watchlist, open actions.
LRC pack	Monthly	Committee	Bucket evolution, redemption trends, ADT statistics, stress results in cycle, open actions, breach log.
Board liquidity report	Semi-annual	AFM Board	Framework adequacy assessment, material findings, retrospective assessment summary, Model Validation opinion summary.
Retrospective assessment	Annual	LRC, Board	Cost recovery ratio, non-application total, threshold sensitivity, frequency analysis, actions.
FRAME regulatory return	Per FCA schedule	FCA	ADT availability and usage; no calibration parameters disclosed.

10. Delegated portfolio managers

10.1 Where portfolio management is delegated to a group entity or third-party manager, the delegation agreement provides for: position-level data at daily frequency; access to the delegate's execution data for back-testing; notification of any material change in the liquidity of a holding; and the Firm's right to direct or restrict transactions where required to maintain a fund's liquidity profile.

10.2 The Risk function reconciles its own classifications to the delegate's at least monthly; divergence is resolved in favour of the more conservative classification pending LRC determination. The Firm does not rely on a delegate's own liquidity stress testing as a substitute for its own.

11. Depositary interaction

11.1 The Firm provides the depositary with the Liquidity Stress Testing Policy and any amendment, confirmation that the risk management process provides for stress testing, the schedule of funds and frequencies, and, on request, evidence that testing was performed and the anti-dilution decision record for any valuation point. The depositary is not asked to, and does not, assess the adequacy of the Firm's models, methodologies or calibration.

12. Records

12.1 Records required under this Procedure are retained for a minimum of six years, in a form that identifies the version of every policy, parameter set and model applicable at the time, and that identifies the maker, checker and (where applicable) Fund Accounting reviewer for every price-affecting decision. The full retention schedule is at Schedule 4 of the Desktop Procedure.

Appendix — Scope carve-out for regulated money market funds

Applies to a fund that is a regulated MMF	Does not apply
Definition of dilution; prospectus content (current requirements preserved); the purpose statement on risk-spreading; the fair-treatment guidance on COLL 6.3.8R(2); the conflicts rule (COLL 6.6.3R(5)); the stress testing rule (COLL 6.12.11R), until the Money Market Funds Regulation is revoked	The eligibility and eligible-market provisions specific to transferable securities; the mandatory anti-dilution mechanism and its calibration guidance; the annual retrospective assessment; the two liquidity guidance annexes (COLL 6 Annex 5 and 6) in full

This carve-out is applied fund by fund in the Fund Parameter Schedule and is not to be inferred from a fund's name or marketing description.

Approved by the Liquidity Risk Committee under the authority of the Fund Liquidity Risk Policy, Section 9.1.